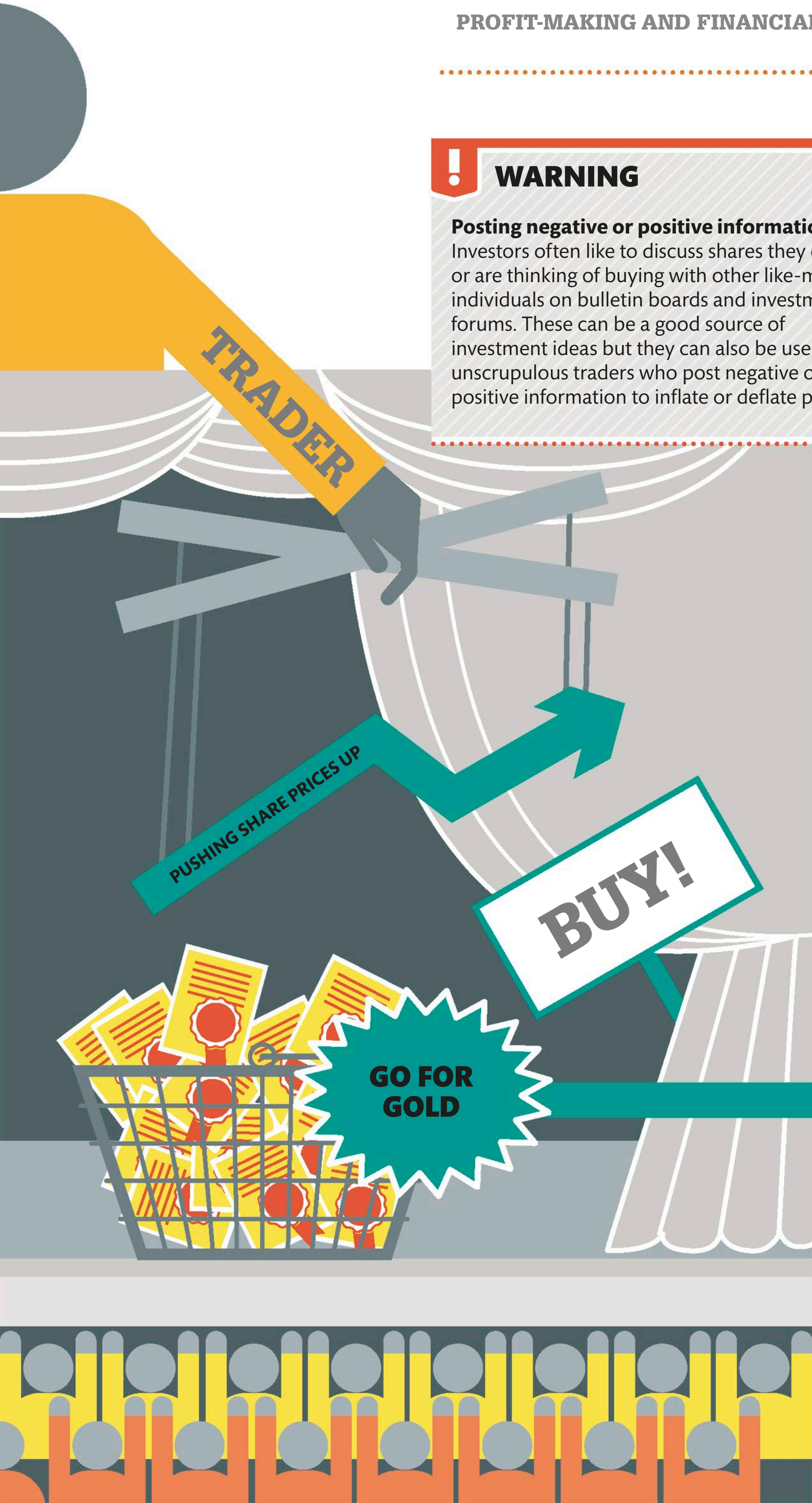
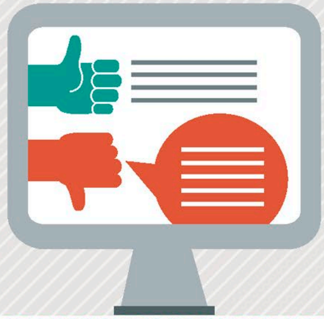


WARNING

Posting negative or positive information
Investors often like to discuss shares they own or are thinking of buying with other like-minded individuals on bulletin boards and investment forums. These can be a good source of investment ideas but they can also be used by unscrupulous traders who post negative or positive information to inflate or deflate prices.



THE LIBOR SCANDAL

Manipulation can affect other areas of the market as well. A recent example is the Libor rigging scandal. Libor is a benchmark rate that banks charge each other for short-term loans and is regarded as an important measure of trust between major global banks. The scandal involved traders at 10 firms, which the UK's Serious Fraud Office alleged had conspired to manipulate the Libor benchmark between 2006 and 2010 in order to keep it artificially low.

Pushing share prices up

- **Stock liquidity** In less liquid stocks, a relatively small number of buy orders can move the price up. This makes it easier to exaggerate price movements through manipulative trades such as "pump and dump," where a rogue trader encourages investors to buy shares, pushing the price up so they can then sell their own shares at a high price.
- **Good news** Posting positive information about a company or stock on a bulletin board or in an investor chat room can encourage other investors to buy.